



“People are struggling to pay back credit they got from BNPL and loans on apps. More due diligence has to be done by all parties. If not done, then this is a time bomb ready to explode”

HARISH PARMAR
FOUNDER, SINGLEDEBT



“Credit card payment defaults increased in June 2023, despite credit card lending growth. Unsecured credit portfolios and small-ticket loans drove retail credit expansion”

MAHESH SHUKLA
FOUNDER & CEO, PAYME

CASE STUDY



FREEDOM FROM DEBT

◀ **HARINATH MEHRA**
Age 24

HIS STORY Mehra lost his job in 2020, during Covid-19. He quickly found a new job, but it came with a 50 per cent pay cut. The salary was insufficient to cover his mounting credit card debt. Mehra had already amassed a debt of ₹3.95 lakh; his debts mounted after he lost his job during the pandemic

HOW HE GOT DEBT-FREE He got in touch with debt relief platform FREED which settled his bill at a 45 per cent discount with the credit card company. He became debt-free in just four months following counselling from the company

Bank of India report, 53 per cent of loans disbursed by NBFCs, and 10.8 per cent of the total amount disbursed, came through digital channels. In the case of banks, only 6.04 per cent of loans and 2.07 per cent of the total amount disbursed was through digital channels.

How do NBFCs benefit? They can reach out to new-to-credit borrowers who are otherwise difficult to find. This is important because as of June 2022, one-third of the retail credit market consisted of new borrowers, and the number has been increasing since. Then there are subprime borrowers—individuals with lower credit scores—who, according to Shukla of PayMe, accounted for 32 per cent of retail loans as of October 2022, an increase from 28 per cent in 2019.

While fintechs offer easy loans, they charge higher interest rates than banks. What, however, attracts most customers to them is the speed with which the loan gets disbursed. And therein lies the problem, say experts. “They (fintechs) should take some time to process the documents and not be under pressure to pay out loans in half an hour because that could mean they are not doing their full due diligence. RBI has to encourage fintechs to do full due diligence,” says Parmar of SingleDebt.

Banks too are focussing on retail loans. Per RBI’s Financial Stability report released in June, retail loans grew at a CAGR of 24.8 per cent from March 2021 to March 2023, almost double the CAGR of 13.8 per cent for gross advances. Further, unsecured retail loans increased from 22.9 per cent to 25.2 per cent, while secured loans declined from 77.1 per cent to 74.8 per cent. This is why RBI has warned that retail loans may become a systemic risk in its Report on Trend and Progress of Banking in India 2021-22.